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Pillsbury Cookie Challenge: Case Analysis

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Introduction

In the Pillsbury Cookie Challenge case we can see clearly some examples of the marketing challenges that General Mills Canada Corporation had with their refrigerated baked goods category, especially with the refrigerated cookies they offer to their customers. The company didn't expect the slow growth of the product and the low engagement of Canadian households with the product. In this report, the main focus would be the consumer insights and understanding what is influencing buyers to shift to competitors instead of going for their product. It will also provide the recommendations gathered from the gap in the market shown by Perceptual maps to make a marketing strategy.

1. Consumer Insights

What are Consumer Insights?

Consumer insights is the recollection of the customer's behavior, what they need and what motivates them through data and market research. Understanding consumer insights is important to make better decisions based on the data and research gathered to improve the business performance. The consumer insights help businesses when they are presenting challenges like: loyalty declining, sales declining, poor customer retention, and the effect of their marketing campaigns is not visible.

Business Challenges that Benefit from Consumer Insights

Consumer insights can address various business challenges and one of the examples studied in the course was Lululemon. In the article "Keeping Up with The Quants" which addressed different Business Challenges, Lululemon could benefit from the application of consumer insights.

Some of the challenges for Lululemon that were benefiting from Consumer Insights allowed Lululemon to use data analytics to understand why consumers preferences were shifting. By gathering customer feedback and relating it to the sales, the company could see how some factors like product innovation and creating engaged communities could influence loyalty.

Another challenge benefited by Consumer insights helped Lululemon to understand which were the products that were not performing to their maximum potential by analyzing trends and the effectiveness of their strategies. This gave them the opportunity to readjust their strategies according to what customers actually expected. Also, By analyzing the effectiveness of their strategies they used hypothesis driven analytics to target their audiences optimizing campaigns and messaging. Gathering the customers insights, also helped Lululemon to understand what was right and wrong with quality and fits from consumer needs. Finally, lululemon uses consumer data when entering new markets to align their strategies to position the brand with the cultural environment.

Methods to Obtain Consumer Insights

Consumer insights can be obtained from different methods. Some of these include:

- Surveys and questionnaires that gather quantitative data.
- Experiments like A/B Testing
- Social media analytics
- Interviews
- Social Media Analytics
- Purchase of data

2. Usage & Attitude Study Findings

The usage and attitude study was important to understand what was impacting consumer buying decisions in the Canadian cookie market and what was contributing to the low performance of the product. It helped identify the potential strategies to improve the brand's perception and engagement with the product.

The study showed important findings for Pillsbury's refrigerated cookie. The first finding being how Canadian households were not engaging with the refrigerated cookies as they preferred other baked items showing a gap in awareness. The second finding was about how consumers preferred ready to eat cookies or baking from scratch because they perceived them as better quality and fresher. Also, they found out a group of consumers were going for non-refrigerated good for health factors staying away from the preservatives they had. The final finding from the study was about how the consumers were not able to differentiate the brand with its competitors and couldn't see a unique value.

The study also shows 3 different groups that were targeted. The first group were the loyal consumers who valued convenience but lacked strong emotional connection with the brand. For this group, the implication would be reinforcing emotional engagement through storytelling and personalized marketing.

The next group was the lapsed users, who perceived the cookies as less fresh compared to the alternatives and for this one, they should improve the messaging and use keywords like freshness and quality to target this audience.

The last group was the non-users. Here they had a market opportunity for awareness of the convenience benefits for refrigerated cookie dough and the implication for this group would be making a campaign for awareness in the taste and quality of the product.

3. Perceptual Maps for Consumer Segments GAP ANALYSIS AND MAKE BETTER PRODUCTS.

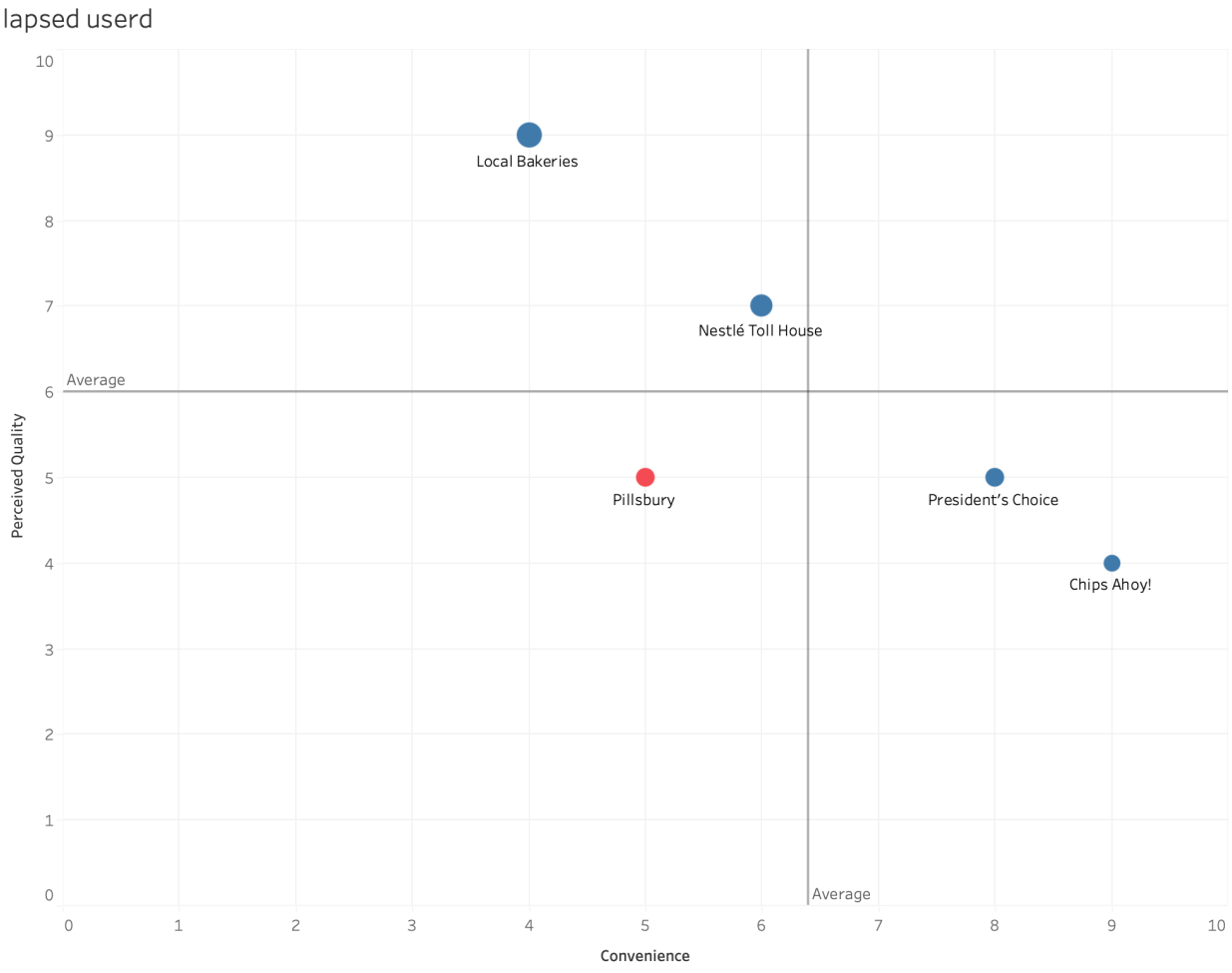
The following perceptual maps illustrate Pillsbury's position relative to competitors and consumer expectations.

Heavy Users:



Pillsbury is positioned moderately high in convenience within the Heavy users but behind Presidents Choice and Chips Ahoy. It is also high on perceived quality but behind brands like Nestlé and local bakeries. This shows how even when users find it convenient, they don't see Pillsbury superior in quality compared to competitors.

Lapsed Users:



Pillsbury is positioned lower than Local Bakeries and Nestle but is perceived as same quality as President's Choice and better than Chips Ahoy. Around 5 out of 10, shows that lapsed users see Pillsbury's product as lacking in quality and convenience against competitors.

Non-Users:



Pillsbury is positioned lower than the competitors' alternatives for both quality and convenience.

Recommendations

Improve perception by introducing a line on artisan dough with fresh quality ingredients. Also highlight the quality on the packaging. Make in store tasting experiences so users can understand the taste without thinking on the baking process.

Create loyalty programs with exclusive discounts for heavy users.

Make partnerships with influencers who show the convenience and quick process.

Focus on storytelling to create emotional connection with customers. Even going for nostalgia on marketing ads.

For non users make trial offers and tasting experiences to improve awareness.

Conclusion

The Pillsbury Cookie Challenge shows how important consumer insights are when making marketing strategies and understanding their consumer needs and motivations. After the study, it is interesting to see how marketers may be able to address some of the pain points brands may face and using tools like the Perceptual map, shows the gap in the market where new products may be able to make their way in improving brand perception and driving more sales. Using real life cases helps understand better the marketing implications for each brands and gives a global view with cultural perceptions.

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